



DIPTI DESHPANDE
PRINCIPAL
ECONOMIST, CRISIL

“High energy prices will drive up domestic inflation. Second round effects through higher input costs are also seen seeping into core inflation”

ports more expensive and creating challenges in meeting targets for the twin deficits. The Indian rupee, which ended 2025 at 89.88 against the US dollar, has continued to fall and breached 96 to the dollar in mid-May. Forex reserves, which had crossed \$700 billion in January and February, depleted to around \$698 billion in April.

As a result, pressure is increasing on fiscal and current account deficits. Fiscal consolidation over the past few years has served the Indian economy well with the fiscal deficit coming in at 4.4% of the GDP in FY26. But with tax relief measures, an excise duty cut to maintain retail fuel prices and higher allocation to fertiliser subsidy—at least an additional ₹35,000 crore over the ₹1.7 lakh crore allocation for FY27—the deficit is seen to widen substantially, with some estimating it at 4.6% of the GDP.

At a recent event, Expenditure Secretary V Vualnam said fiscal stress is very much a reality and the coming quarters will be challenging.

N.R. Bhanumurthy, Director of the Madras School of Economics, says high oil prices will impact the fiscal deficit. The government will either have to expand the target for the deficit or cut down on expenditure. He adds multiple factors are affecting the rupee—the pressure from the Trump tariffs last year and now the West Asia crisis. Foreign capital outflows, which predate the current crisis, have also weakened sentiments on the rupee, he says.

Prime Minister Modi’s austerity call should be read in this context—as a measure to boost forex reserves. Avoiding discretionary gold purchases and foreign trips

GOLD IMPORTS HIGH DUE TO PRICES

